

REVENUE REGULATIONS NO. 11-2025 issued on February 27, 2025 implements Section 237 and 237-A of the National Internal Revenue Code of 1997 (Tax Code), as amended by Republic Act (RA) No. 12066 (Corporate Recovery and Tax Incentives for Enterprises to Maximize Opportunities for Reinvigorating the Economy or CREATE MORE).

The following taxpayers are mandated to issue electronic invoices in a structured invoice data which can be easily extracted electronically from the invoice and can be readily transmitted to the BIR for electronic sales reporting:

- a. Taxpayers engaged in electronic commerce (e-commerce) or internet transactions;
- b. Taxpayers under the jurisdiction of the Large Taxpayers Service (LTS);
- c. Taxpayers classified as Large Taxpayers under RA No. 11976 (Ease of Paying Taxes Act) and RR No. 8-2024;
- d. Taxpayers using Computerized Accounting System (CAS), and Computerized Books of Accounts (CBA) with Accounting Records (with electronic invoicing) and other invoicing software; and
- e. Upon the establishment by the BIR of a system capable of storing and processing the required data to be transmitted to it, the following taxpayers are mandated to issue electronic invoices:
 - i. Taxpayers engaged in the export of goods and services pursuant to Section 106 and 108 of the Tax Code, except those falling under Section 3(A)(4) hereof;
 - ii. Registered Business Enterprises availing of Tax Incentives under Section 304(D) of the Tax Code, as amended, except those falling under Section 3(A)(4) hereof;
 - iii. Taxpayers using Point-of-Sales (POS) System; and
 - iv. Other taxpayers as may be required by the Commissioner.

In case the above taxpayers or business activities are registered as a Branch Office, the taxpayers' Head Office and all its Branch Offices shall also be mandated to issue electronic invoices.

All CAS, CBA with Accounting Records (with electronic invoicing), or other invoicing software shall be mandated to generate a system-generated invoice in a structured invoice data that can be easily extracted electronically and can be readily transmitted electronically to the BIR for electronic sales reporting.

Invoices generated by a CAS, and CBA with Accounting Records (with electronic invoicing), Cash Register Machines (CRM), POS System, or other invoicing software and subsequently printed on paper for issuance to buyers, without the capability or readiness to electronically report the sales and invoice data, shall not qualify as electronic invoices. Instead, they shall be classified as traditional, manually issued invoices.

Upon establishment by the BIR of a system capable of storing and processing the required data to be transmitted to it, the following taxpayers shall be covered by the Electronic Sales Reporting System requirement under Section 237-A of the Tax Code, as amended:

- a. Taxpayers engaged in electronic commerce (e-commerce) or internet transactions, classified as Small, Medium and Large Taxpayers;

- b. Taxpayers under the jurisdiction of the Large Taxpayers Service (LTS);
- c. Taxpayers classified as Large Taxpayers under RA No. 11976 (Ease of Paying Taxes Act) and RR No. 8-2024;
- d. Taxpayers using CAS, and CBA with electronic invoicing and other invoicing software;
- e. Taxpayers engaged in the export of goods and services pursuant to Sections 106 and 108 of the Tax Code;
- f. Registered Business Enterprises availing of Tax Incentives under Section 304(D) of the Tax Code, as amended;
- g. Taxpayers using POS System; and
- h. Other taxpayers as may be required by the Commissioner.

Said taxpayers are required to electronically report their sales data to the BIR, subject to the rules and regulations to be issued by the BIR for this purpose. In case the above taxpayers or business activities are registered to a Branch Office, the taxpayers' Head Office and all its Branch Offices shall also be covered by electronic sales reporting.

For purposes of the Regulations, taxpayers engaged in e-commerce shall cover persons, whether natural or juridical, who are engaged in the following trade or business in the Philippines, including but not limited to:

- a. E-commerce or online businesses, whether formal or informal, including sale, procurement, or availment of physical or digital goods (including virtual items games), digital content/products, digital financial services, entertainment services, social commerce, on-demand labor and repair services, and property and space rentals;
- b. Operation of digital platforms, including e-marketplace platforms;
- c. Sale and/or lease of goods and services through digital platforms;
- d. Digital content creation and streaming that are income generating including online advertising, blogging/vlogging, subscription or commission;
- e. E-retailing of goods and services;
- f. Sale of creative or professional services, on-demand or freelance services or digital services supplied over the internet;
- g. On-demand Services over the internet, available whenever a customer requests them, rather than being provided on a fixed schedule such as, but not limited to, ride-sharing, food delivery, grocery delivery, home services (like cleaning or repairs), and streaming entertainment;
- h. Transport and Delivery Services contracted through an online platform, application, website, webpage or other similar platform operated by the provider, regardless of whether the provider is authorized to engage in e-commerce in the Philippines; and
- i. Other form of businesses other than those mentioned above which are conducted online.

All taxpayers required under Section 3(A) and 3(B) of the Regulations, including those taxpayers who voluntarily complied both with the issuance of electronic invoice and electronically report their sales data to the BIR, shall be granted the following deduction from their taxable income amounting to certain percentage of the total cost for setting up an electronic sales reporting system, in addition to the allowable deduction under Section 34(A)(1) of the Tax Code, as amended:

Taxpayer Classification	Allowed Additional Deductions from Taxable Income
Micro and Small Taxpayers	100% of the total cost for setting up an electronic sales reporting system
Medium and Large Taxpayers	50% of the total cost for setting up an electronic sales reporting system

The foregoing allowable deduction shall be availed of only once within the taxable year the electronic sales reporting system has been completed or final payment has been made. The importation of such electronic sales reporting system shall also be exempt from taxes.

In line with the Ease of Doing Business and Ease of Paying Taxes, all taxpayers classified as Micro Taxpayers under Section 3(A)(1), 3(A)(1), 3(A)(4), 3(A)(5)(i), 3(A)(5)(ii), 3(A)(5)(iii) and 3(A)(5)(iv) of these Regulations, shall be exempted from the mandatory requirement to use and issue electronic invoice. However, this exemption does not preclude Micro Taxpayers who are already using electronic invoices, if any, or those who choose to voluntarily use them.

In the absence of an electronic invoice, Micro Taxpayers shall issue a registered manual invoice. They may also use CAS, CRM, and POS System, in lieu of electronic invoices.

Taxpayers covered under Section 3(A)(1) to (3) have a period of one (1) year from the effectivity date of these Regulations to comply with the electronic invoicing requirements (issuance of electronic invoice).

Upon the establishment of a system capable of storing and processing the required data by the BIR, all taxpayers covered under Sections 3(A)(5)(i), 3(A)(5)(ii), 3(A)(5)(iii) and 3(A)(5)(iv) and 3(B) of these Regulations shall be mandated to comply with the issuances of electronic invoice and Electronic Sales Reporting System requirements. A separate Revenue Regulations shall be issued for this purpose.